Do central bank wins translate to household wins?

A U.S. vs. Euro Area comparison, 2015–2025

Ben Coppage · Independent Analysis · October 2025

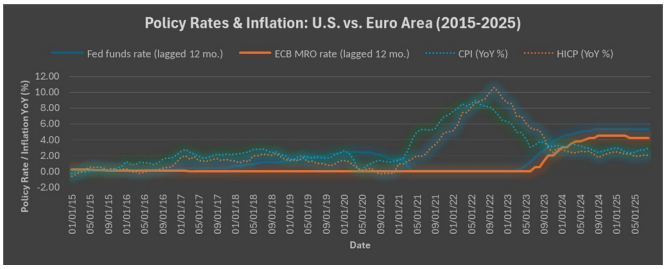
A data-driven look at whether the Fed and ECB's disinflation success carried through to household balance sheets.

THE FINDING

In the end, both the Federal Reserve and the European Central Bank achieved their narrow mandates of disinflation between 2023 and 2025. Inflation converged toward 2 percent, unemployment stayed low, and financial systems avoided crisis. Growth diverged more sharply: in 2024, U.S. real GDP growth averaged about 2.8 percent against about 0.8 percent in the Euro Area. In the first half of 2025, the U.S. ran near 2.1 percent and the Euro Area near 1.5 percent, still below the U.S. pace. Yet beneath those aggregates, household balance sheets told a different story. From 2023 through mid-2025, U.S. household savings rates ran between 4.7 and 6.1 percent, with debt at 68 to 74 percent of GDP. By contrast, Euro Area households saved 13.4 to 15.2 percent and carried debt of 51 to 55 percent of GDP. These indicators show that while the macro picture converged, the micro foundations of resilience diverged.

EXHIBITS

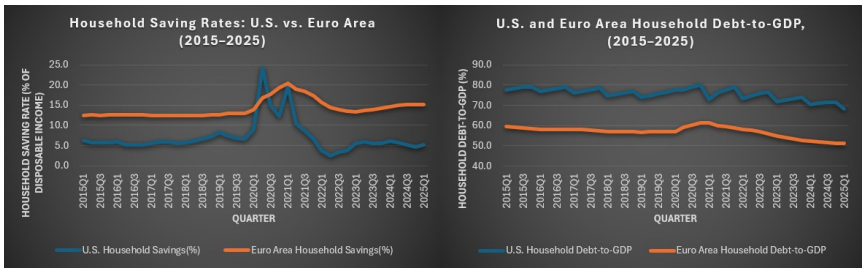
Exhibit 1: Policy rates and inflation paths, U.S. vs. Euro Area, 2015–2025



Policy rates are shifted forward 12 months for the delay before they affect inflation, so the 2022 hikes appear in 2023. Inflation peaked at 9.0 percent in the U.S. (June 2022) and 10.6 percent in the Euro Area (October 2022), then fell back toward 2 percent.

Sources: FRED; European Central Bank; Eurostat. Rates run through August 2024; inflation through August 2025.

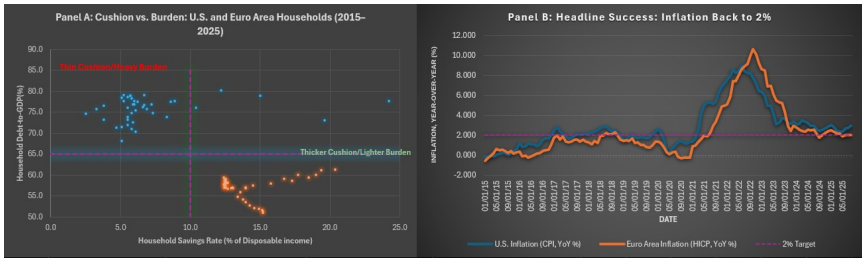
Exhibit 2: Household saving rates and debt-to-GDP, U.S. vs. Euro Area, 2015–2025



U.S. and Euro Area household saving rates and debt-to-GDP, 2015–2025. Euro Area households saved consistently more; U.S. households carried consistently higher leverage.

Sources: BEA via FRED and Eurostat (saving); BIS (debt).

Exhibit 3: Headline success vs. household reality, U.S. and Euro Area, 2015–2025



Panel A plots household saving rates against household debt burdens, 2015–2025. Panel B tracks inflation against the 2% target over the same period.

Sources: Federal Reserve Bank of St. Louis (FRED); Eurostat; Bank for International Settlements (BIS).

WHY IT MATTERS

Euro Area member states maintain more robust social welfare systems and stronger worker protections, reinforcing household resilience even amid slower growth. The United States, by contrast, delivers faster expansion but leaves households more vulnerable. The lesson for both institutions is clear: Monetary policy outcomes must not be assessed in isolation, but in concert with fiscal and social policy, domains neither central bank governs.

METHOD NOTE

Data. Policy rates are the federal funds rate (FRED) and the ECB main refinancing rate (ECB). Policy rates are lagged 12 months to align rate changes with their expected effect on inflation. Rate changes act on prices with a delay (Friedman, 1961), and a meta-analysis puts the average lag to the peak effect on prices at 29 months (Havranek and Rusnak, 2013). This brief uses 12 months, a conservative choice at the short end of that range. Inflation is U.S. CPI and Euro Area HICP, year-over-year. Unemployment and real GDP growth (year-over-year) are U.S. series from FRED and Euro Area series from Eurostat. Household saving rates come from BEA (via FRED) and Eurostat; the U.S. rate is net and the Euro Area rate gross, so levels are not strictly comparable. Household debt-to-GDP comes from the BIS. Monthly inflation and unemployment series run from 2015 through August 2025. The policy rate series runs from 2014 through August 2024. Unemployment, GDP growth, and the Phillips curve cover 2023 to 2025. Household series are quarterly: saving rates run through 2025 Q2 and debt-to-GDP through 2025 Q1.

What was compared. Each series was compared across the U.S. and the Euro Area over the same window. The question was whether disinflation toward the 2 percent target came with stable unemployment and continued growth, and whether household balance sheets looked the same on both sides.

Limitations.

- Policy rate data ends August 2024. It does not include the rate cuts that followed.
- The differences cannot be attributed to monetary policy alone. Fiscal and social policy sit outside the central banks' mandates and outside the scope of the data.

SUPPORTING CHARTS

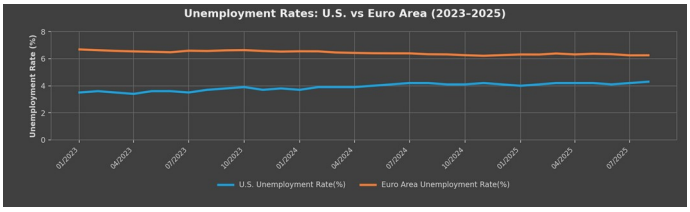


Figure 1. Unemployment Rates, U.S. vs. Euro Area (2023–2025). The chart compares monthly unemployment rates in the United States and the Euro Area. U.S. unemployment stayed low, between 3.4% and 4.3%, while Euro Area unemployment persisted at a higher level of 6.2–6.7%. Sources: Federal Reserve Bank of St. Louis (FRED); Eurostat.

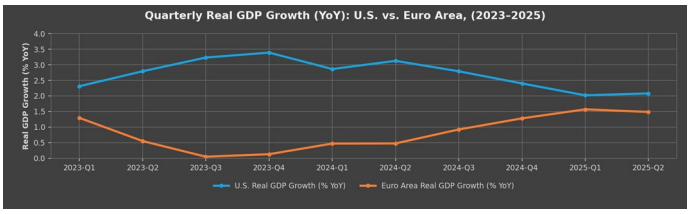


Figure 2. Real GDP Growth, Year-over-Year, U.S. vs. Euro Area (2023–2025). The chart compares year-over-year real GDP growth rates in the United States and the Euro Area. Sources: Federal Reserve Bank of St. Louis (FRED); Eurostat.

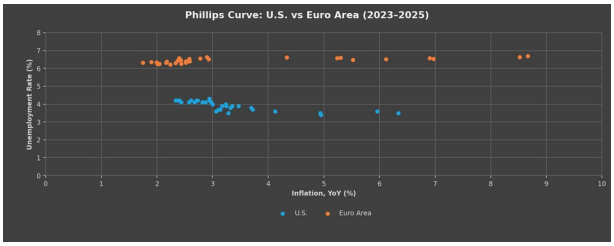


Figure 3. Phillips Curve, U.S. vs. Euro Area (2023–2025). The scatterplot plots year-over-year inflation against unemployment. U.S. points cluster around 3.4–4.3% unemployment with inflation between 2.3–6.3%; Euro Area points cluster around 6.2–6.7% unemployment with inflation between 1.7–8.7%. Both economies disinflated while unemployment moved only modestly. The muted Phillips Curve reflects this pattern. Sources: Federal Reserve Bank of St. Louis (FRED); Eurostat.

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